

INDIA'S WORLD

INTERNATIONAL AFFAIRS • INDIAN INTERESTS

March 26, 2025

TRUMP'S RECIPROCAL TARIFF POLICY: IMPLICATIONS FOR INDIAN PHARMA INDUSTRY

Reji Joseph

Copyright © 2025 by India's World. All Rights Reserved. To request permission to distribute or reprint this article, please visit [Indiasworld.in/privacy-policy](https://indiasworld.in/privacy-policy). Source URL: <https://indiasworld.in/trumps-reciprocal-tariff-policy-implications-for-indian-pharma-industry/>



The Indian government, including Minister Piyush Goyal, senior Commerce Ministry officials along with representatives from industry, is working tirelessly to resolve trade disputes with the United States (US) and finalise a Bilateral Trade Agreement (BTA).

But President Donald Trump has made it clear that India will not receive any exemptions. Reciprocal tariffs on Indian goods will take effect from 2 April 2025, after Trump declared, “We will impose the same tariffs on them as they do on us.” One of the key sectors affected will be pharmaceuticals.

The critical question now is: What will be the impact of these reciprocal tariffs on India’s pharmaceutical exports? This article argues that tariffs will not only hurt Indian drug manufacturers but also US consumers and pharmaceutical companies. Initially, Indian firms may have to absorb some of the increased costs, but over the medium term, the situation could stabilise as the Trump administration might be forced to reconsider some of its trade policies. For the long run, however, the Indian pharmaceutical industry should develop strategies to diversify export markets and establish more geographically distributed manufacturing hubs to mitigate future risks.

NATURE OF RECIPROCAL TARIFFS

The nature of the reciprocal tariffs – whether there is going to be a single rate, calculated based on the difference in the average tariffs faced by exporters of both countries, applicable to a particular sector or multiple rates within a sector, calculated based on the difference in tariff rates at product level – is not clear. A third possibility, although a distant one, is cross-sector retaliatory tariffs. India’s weighted average tariff on US exports of automobiles and components is 24.1%, and the US’s weighted average tariff on Indian exports of automobiles and components is just 1%. It would not make sense for the US to impose a

retaliatory tariff of 23.1% on Indian exports of automobiles and components, as India's exports to the US on this are extremely low. But it would be a rational choice for the US to impose a higher retaliatory tariff on Indian pharmaceutical exports to the US, which is quite substantial. Cross-sector retaliation is permitted under the WTO dispute settlement mechanism. Whatever may be the nature of Trump's reciprocal tariff policy, the Indian pharmaceutical industry is a key sector that is going to be hit hard.

Indian pharmaceutical firms may have to absorb some of the increased costs following US' retaliatory tariffs, but over the long run the industry should develop strategies to diversify export markets and establish more geographically distributed manufacturing hubs to mitigate future risks.

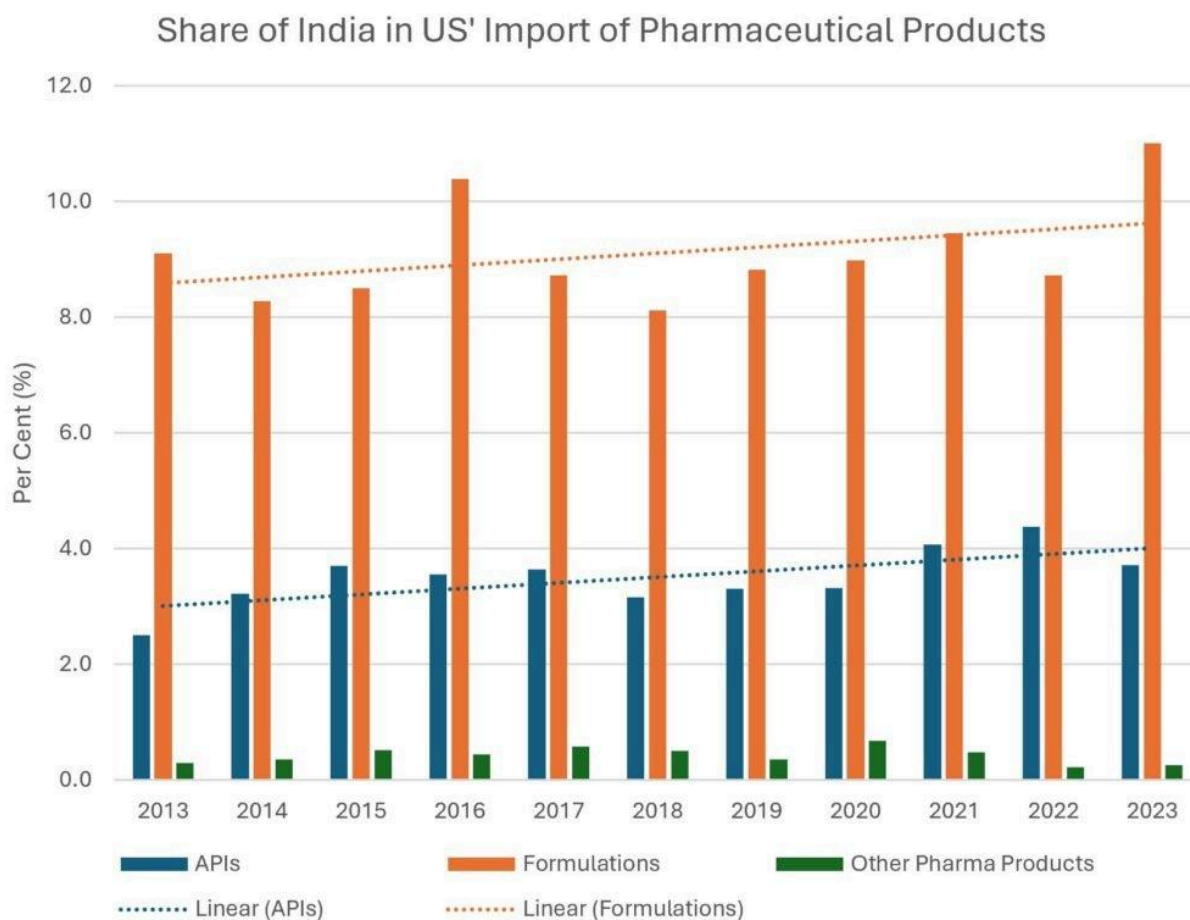
If it is going to be a single rate for a sector, the reciprocal tariff facing the Indian pharmaceutical exporters will be 10.9%, which is the difference of weighted average tariffs faced by exporters in both

countries, according to a [report by Global Trade Research Initiative](#). While Indian exporters to the US face almost zero tariffs in pharmaceuticals, US exporters to India face, on average, a 10.9% tariff. If it is going to be product-specific, the reciprocal tariff facing each product within the pharmaceutical sector is going to be different. However, if it is cross-sector retaliation, the reciprocal tariffs facing the Indian pharma exports will be more than 10.9%. While we will have to wait a few more days to know how Trump's retaliatory tariff policy is unfolding, the pertinent question that we need to address now is what the likely implications of this policy are.

IMPLICATIONS FOR US CONSUMERS AND PHARMACEUTICAL FIRMS

Medicines are price inelastic and therefore the demand for them will not decline even when the price goes up. Whether consumers will end up paying more would depend on the availability of cheaper substitutes. It has been [reported](#) that generic medicines exported from India accounted for 47% of generic medicines supplied in the US in 2022. It is the price advantage that drives Indian generics in the US, and therefore, it may not be easy to find cheaper substitutes. Therefore, the possibility of US consumers ending up paying more for medicines is higher. India's exports include formulations (finished dosage forms, which are ready for consumer use), active pharmaceutical ingredients (APIs) and other pharmaceutical products such as blood grouping reagents and sterile surgical catgut to the US. In fact, in formulations, India's share in the total import of formulations by the US has been

increasing over the years to reach 11% in 2023, as can be seen in the figure given below.



Source: Computed from Comtrade database accessed through WITS, World Bank.

There are many US-based pharmaceutical firms sourcing APIs from India for the production of formulations. The reciprocal tariffs will also result in an increase in the cost of inputs for US pharmaceutical firms, ultimately driving up the price of medicines sold by US firms as well. Although import from India constitutes only about 4% of US' total

import of APIs, it will not be easy for US firms to find alternate cost-effective suppliers of APIs for two reasons. One, for new firms to start exporting APIs to the US requires obtaining clearances and complying with the USFDA regulations, which is time-consuming. Two, India and China are the two major suppliers of cost-effective APIs and finding alternate sources for supplies will not be easy.

IMPLICATIONS FOR THE INDIAN PHARMACEUTICAL INDUSTRY

There is certainly going to be pushback by the US administration against any increase in the prices as medicine prices have become a sensitive issue in the US in the recent past. Although Trump has reversed Biden's policies of reducing medicine prices, Trump has asked Medicare to find options for reducing cost of medicines, including capping the monthly out of pocket spending on generic medications to \$ 2,000.

The likely pushback from the Trump administration will force Indian producers to absorb part of the increase in the price (after retaliatory tariffs). Its impact on Indian pharmaceutical industry is going to be quite substantial as this industry is highly export oriented and US is a major export destination. More than half of the turnover of the Indian pharmaceutical industry comes from exports. In 2023, India exported pharmaceutical products worth \$ 25.6 billion, out of which 31% was destined to the US alone. The US is likely to insist on two major changes in the patent legislation of India in the proposed BTA, which

will be harmful for the Indian pharmaceutical industry. The latest [Special 301 Report 2024](#) of the United States Trade Representative (USTR) continues to place India on the Priority Watchlist, implying that the US has serious concerns about intellectual property (IP) protection, enforcement and market access for US IP holders in India. This report has raised two concerns on IP issues related to pharmaceuticals.

The world is moving away from mere efficiency-seeking economic engagements reinforced by the Washington Consensus to economic arrangements that take on board national security considerations. Even the most advanced countries are focusing on strengthening the manufacturing sector; there will be an increased emphasis on local production and supply chain diversification. The Indian

pharmaceutical industry needs to strive to become an integral part of renewed efforts to make supply chains resilient.

One, US finds the Section 3(d) of India's Patents Act as restricting patent eligibility of US innovators. This clause prevents patenting the mere discovery of a new form of a known substance, which does not result in enhanced efficacy of that substance, or the mere discovery of a new use of the existing substance. This section has been very carefully crafted into India's patent legislation for preventing frivolous patenting and thus addressing the issue of the evergreening of patents. This provision has ensured that in pharmaceuticals, only genuine innovations would be eligible for patent protection in India, and minor or incremental innovations on an already patented product would not be eligible for patenting. In many economies, including the US, there is no provision like this in their patent legislation and as a result, innovators can prolong the patent life of a product well beyond the stipulated 20 years by engaging in patenting of incremental innovations based on the already patented products, which is known as evergreening of patents. The Section 3(d) of India's Patents Act has played an important role in checking the medicine prices in India by preventing evergreening and increasing the space for generic medicine producers in India. Two, the US is also concerned that the Indian drug approval process does not require the originator (patent holder) to be notified prior to approving a follow-on product (generic drug), also

known as patent linkage. Introducing patent linkage will delay the approval of generic medicines, which will be against the interest of patients in India and the Indian pharmaceutical industry. Indian negotiators will have a tough task in engaging with US counterparts to protect the interests of the Indian pharmaceutical industry and patients in India.

HOW SHOULD THE INDIAN PHARMACEUTICAL INDUSTRY RESPOND?

Trump's trade policies are not sustainable, and he would find it difficult to handle the contradictions within his policies. For him, tariffs provide an external revenue source and the implicit assumption here is that foreign producers will always absorb the tariffs entirely, which is not true always. And retaliation by US trading partners will reduce US exports. Trump wants to reduce the current account deficit by reducing imports and increasing exports, and at the same time wants to maintain the US dollar as the only global reserve currency. However, the growing demand for the US dollar would make it overvalued and thus adversely affecting the export competitiveness of US producers. All these contradictions will manifest in the form of a rise in inflation in the US and reduced exports from the US, which would compel the US President to reverse some of his economic policies. Therefore, Indian pharmaceutical producers will have to absorb part of the tariff-induced price rise in the short run, but in the medium term, the adverse impact of the reciprocal tariff policy will be minimised.

However, Trump's trade policy should not be seen in isolation from what is happening globally in the economic policy. The world is moving away from mere efficiency-seeking economic engagements reinforced by the Washington Consensus to economic arrangements that take on board national security and geopolitical considerations. There is also an emphasis even among the most advanced countries on strengthening the industrial sector, especially the manufacturing sector, as it is critical for sustaining economic growth and meeting social development objectives. Therefore, there will be an increased emphasis on local production as well as supply chain diversification, especially in sectors such as pharmaceuticals, which are of national security significance. The Indian pharmaceutical industry, on the one hand, needs to strive to become an integral part of the renewed efforts at making pharmaceutical supply chains resilient. On the other, it needs to start investing in establishing production facilities in different parts of the world considering geopolitical and economic considerations. Some of the Indian pharmaceutical firms have already started production in foreign countries such as China for exports.



Associate Professor at Institute for Studies in Industrial Development, New Delhi.